PAHLÉ INDIA FOUNDATION
PUTTING INDIA FIRST TO MAKE INDIA FIRST

ENHANCING FEMALE ENTREPRENEURSHIP & EMPLOYMENT

in the MSME Sector

A Gender-Intentional, Multi-State Perspective

September, 2025

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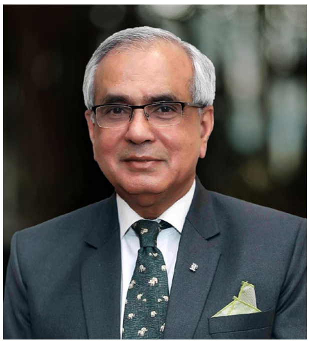
Enhancing Female Entrepreneurship and Employment in the MSME Sector:

A Gender-Intentional, Multi-State Perspective

Letter from the Chairperson, Pahlé India Foundation



Dr. Rajiv Kumar
Chairperson
Pahlé India Foundation

It gives me great pleasure to present this report by my colleagues at Pahlé India Foundation (PIF), titled Enhancing Female Entrepreneurship and Employment in the MSME Sector: A Gender-Intentional, Multi-State Perspective.

This report addresses one of the most pressing gaps in our economic journey–the disproportionately low participation of women in India's Micro, Small, and Medium Enterprises (MSME) sector. Despite MSMEs being the backbone of our economy, creating over 20 crore jobs, only about 15 million of the 63 million MSMEs are owned by women. This imbalance not only restricts women's economic empowerment but also limits the sector's potential to drive India's aspiration of becoming a developed nation–Viksit Bharat–by 2047.

Through extensive stakeholder consultations across six states–Chhattisgarh, Gujarat, Maharashtra, Odisha, Tamil Nadu, and Uttar Pradesh–and rigorous secondary research, this study identifies the challenges faced by women entrepreneurs and employees in the MSME sector, and proposes concrete, gender-intentional recommendations to bridge these gaps. The report highlights four focus areas: financial inclusion, skill development, market access, and policy and institutional support. It also showcases inspiring success stories of women entrepreneurs who are reshaping their communities and creating sustainable livelihoods.

I am confident that the insights and recommendations in this report will serve as a valuable resource for policymakers, industry stakeholders, and civil society as they work to design targeted interventions and build an enabling ecosystem for women entrepreneurs.

I sincerely hope that this work will inform future strategies and contribute meaningfully to enhancing women's participation in India's economic growth. I welcome your feedback and continued engagement in this vital endeavour.

Acknowledgements

This report would not have been possible without the invaluable contributions of numerous individuals and organisations. We are immensely grateful for the support, insights, and encouragement provided by each person and institution involved.

First and foremost, we would like to extend our heartfelt thanks to the many female entrepreneurs, MSME employees, government officials, financial sector representatives, industry leaders, and community advocates who participated in our roundtable discussions. Many of them travelled significant distances to join these sessions and generously shared their time, experiences, and perspectives. Their in-depth insights into the daily realities, opportunities, and challenges faced by women entrepreneurs in the MSME sector provided the grassroot-level inputs for this report, making it richer. Without their thoughtful contributions, this research would lack the depth and practical relevance it seeks to achieve.

We are also profoundly grateful to our NGO partners for their extensive support and collaboration in organising these discussions. Their local expertise, networks, and commitment to the cause of women's empowerment were essential to the success of each roundtable. We extend special appreciation to Spandan and ACIC GIETU Foundation in Odisha, Bastar Samajik Jan Vikas Samiti in Chhattisgarh, Chaitanya in Maharashtra, SEWA in Gujarat and Uttar Pradesh, and CRY in Tamil Nadu. Each of these organisations works tirelessly on the ground to uplift female entrepreneurs and communities; we encourage our readers to explore their work and support their impactful initiatives.

Our deepest appreciation goes to Dr. Nandita Mondal, whose expert guidance and mentorship were instrumental throughout the research process. Dr. Mondal not only provided invaluable insights but also skilfully facilitated the discussions, helping draw out rich, nuanced perspectives that shaped the report. We are also grateful to Mr. Ishan Joshi, whose constructive feedback strengthened the quality of the analysis, and Ms. Neera Bali, who coordinated the roundtable discussions with dedication and attention to detail. We are continuously inspired by the unwavering encouragement and support provided by Dr. Rajiv Kumar and Mr. Ravi Pokharna, whose leadership and vision for inclusive growth have been a driving force for this project.

A special acknowledgement goes to the talented research team members, Ms. Garima Jain, Ms. Bharati Agarwal, Ms. Mahima Singh, and Ms. Surabhi Santhosh and Tushar. Their commitment, meticulous research, and organisational support were crucial in gathering, analysing, and synthesising information across states. They worked diligently behind the scenes to ensure that each piece of data was accurately captured, and every participant's voice was reflected in the report.

To everyone who contributed to this report, both directly and indirectly, we extend our sincerest gratitude. It is our hope that the findings and recommendations herein will honour your insights and contribute meaningfully to the advancement of female entrepreneurship in India.

Mapping the journey of women entrepreneurs across India

Uttar Pradesh

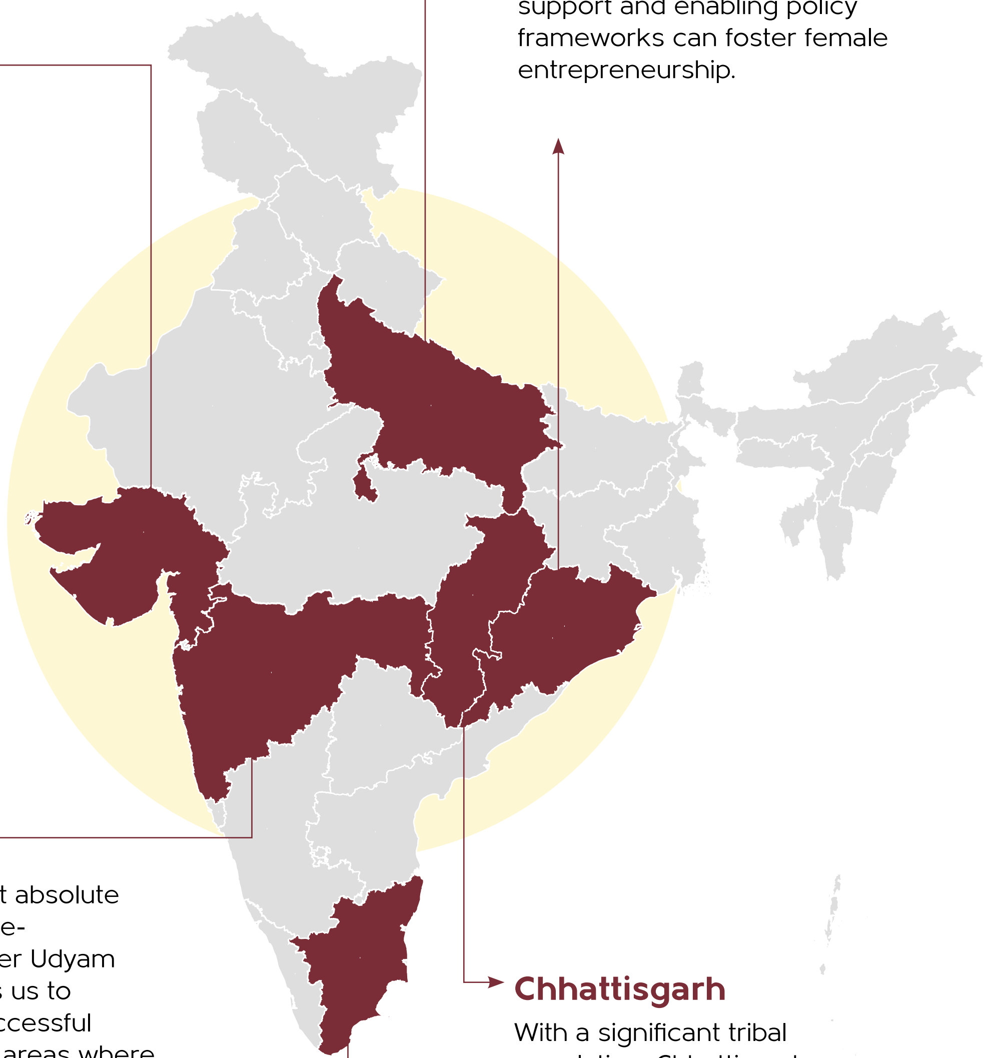
Uttar Pradesh has the third highest absolute number of registered female-owned MSMEs in India, as per Udyam Registration data.

Odisha

Odisha offers the highest number of state schemes (41) supporting entrepreneurship. Odisha thus provides a case study on how government support and enabling policy frameworks can foster female entrepreneurship.

Gujarat

Gujarat, the largest contributor to India's overall exports, was included to examine how women entrepreneurs participate in trade-oriented sectors such as garments, embroidery, handicrafts, and chemicals, despite the absence of gender-disaggregated export data. The state also offers a unique lens on the success of women-led cooperative models, with SEWA providing a globally recognized example of collective enterprise building and market linkage.



Maharashtra

Maharashtra has the highest absolute number of registered female-owned MSMEs in India, as per Udyam Registration data.This allows us to explore the pathways to successful entrepreneurial ventures in areas where female presence in the MSME sector is already significant.

Chhattisgarh

With a significant tribal population, Chhattisgarh was chosen to highlight the entrepreneurial efforts of women from tribal communities, offering insights into the workings of tribal ventures that are driven by indigenous knowledge, as well as the unique challenges tribal female entrepreneurs must overcome.

Tamil Nadu

Tamil Nadu has the second highest absolute number of registered female-owned MSMEs in India, as per Udyam Registration data.

Women-owned MSMEs registered on the Udyam Registration portal

	Women-owned Informal Micro Enterprises (IMEs) (January 2024)	Women Owned MSMEs registered on Udyam Registration Portal and Udyam Assistance Portal as of Jan 2024	Percentage of women owned MSMEs registered on Udyam Registration Portal and Udyam Assistance Portal as of Jan 2024
Chhattisgarh	1,843	53,914	42
Gujarat	302,580	252,551	28
Maharashtra	764,092	834.774	35
Odisha	374,612	106,656	44
Tamil Nadu	514,273	623,492	43
Uttar Pradesh	881,950	350,542	33
National Avg.	253001	129,646	40

Executive Summary

The Micro, Small, and Medium Enterprise (MSME) sector has been dubbed the backbone of the Indian economy, contributing 30% to GDP, 44% to exports, and 36% to manufacturing output.[1] Compared to large industries, MSMEs have a high labour-to-capital ratio and a more even geographical spread across India, making the sector a key driver of inclusive growth and employment.

Despite the economic and strategic importance of MSMEs, female participation in the sector remains disproportionately low, with only ~15 million out of 63 million MSMEs being women-owned. Women-owned MSMEs (WMSMEs) also tend to be smaller in size and face structural challenges to scaling; 20.44% of WMSMEs are micro enterprises, 5.26% are small, and only 2.77% are medium-sized.

This disparity underscores the urgent need for targeted measures to create an enabling ecosystem for women entrepreneurs. Bridging gender gaps in entrepreneurship is not only essential for advancing women's economic empowerment but also for unlocking the full potential of the MSME sector towards India's national goals. Given the fragmented nature of existing data, it is vital to explore causes at the grassroots level.

To this end, this study employed a mixed-methods approach, starting with consultative roundtables across six Indian states, inviting women entrepreneurs and key MSME ecosystem stakeholders (including bankers, government officials, Non-Government Organisation's (NGO) leaders, and industry association heads) to share their perspectives on the challenges faced by women entrepreneurs in the MSME sector. The qualitative insights received from the roundtables were then validated through

secondary research, which in turn was guided by the themes emerging from the discussions, ensuring both contextual richness and data-backed evidence. The resulting report puts forth actionable, gender-intentional strategies towards building a business ecosystem that supports women in starting, sustaining, and scaling their enterprises.

This report seeks to offer valuable insights for policymakers, civil society, and industry stakeholders committed to enhancing entrepreneurship and employment outcomes for women in India.

While not exhaustive, the following challenges are identified across four high-impact areas critical to building a supportive ecosystem for women in MSMEs: financial inclusion, skill development, market access, and policy and institutional support. It must be noted that these challenges are further exacerbated by social discrimination, low levels of financial literacy, the persistent digital divide, restricted geographical mobility, and the burden of household and childcare duties.

Financial Inclusion

- The gender gap in bank account ownership has virtually been eliminated, owing to financial inclusion programs like the Pradhan Mantri Jan Dhan Yojana (PMJDY), but a 9% gender disparity in bank account usage remains.

- Formal credit usage is severely low among women entrepreneurs. WMSMEs face an estimated credit gap of US$ 1.4 trillion to US$ 1.7 trillion. 90% of women-owned businesses have never accessed formal credit in India. Women entrepreneurs tend to resort to informal credit sources, which often have higher interest rates and predatory practices.

- Patriarchal norms prevent women from independently owning an asset or a business, but lack of collateral is only one of many issues hindering access to formal credit. Credit received by women is only 27% of the deposits they contribute, compared to 52% for men. Notably, women's per capita savings exceed those of men, and they demonstrate lower credit risks. This indicates that a large number of credit-eligible women in India are underserved by financial institutions.

- On the supply side, financial institutions tend to often treat women borrowers as riskier due to limited credit histories, informal work profiles, lack of accounting records, and small loan sizes that are seen as commercially unviable. Unconscious gender biases may also play a role.

- On the demand side, women face challenges such as limited awareness of financial products, fear of default, risk aversion, past negative experiences contributing to distrust in the financial system, low confidence, distance from banks, and time-consuming and cumbersome procedures.

- It is easier for women entrepreneurs to access credit through microfinance institutions, self-help groups, and joint liability groups, than as an individual applicant.[2-3] A joint credit history and community accountability mechanisms can improve their commercial viability as borrowers.

- At the household level, women have limited autonomy over financial decisions and contribute larger portions of their income to household consumption, diverting funds away from business use.

Skill Development

- Despite significant progress in terms of gender parity in education (the Gender Parity Index is above 1 across all levels of education, indicating higher female enrollment than male enrollment), female labour force participation remains low at 41.7% (in the age 15+ category), compared to 78.8% for men, as of 2024.

- Skill training programmes have a leaky pipeline to employment and entrepreneurship. Women are 13 % less likely than men to receive job offers after training and 26 % less likely to accept them. They are also more likely to cite personal reasons like family concerns for rejecting offers, while men are more likely to cite work-related concerns.

- Social norms limit women to relatively low-paying sectors (e.g. tailoring, beauty, wellness, etc.), largely excluding them from more lucrative, high-growth industries like Science, Technology, Engineering and Mathematics (STEM). Moreover, women remain confined to lower rungs of the value chain within sectors, and have a greater tendency than men to work in informal jobs with low pay, poor job security, and limited opportunities for advancement.

Market Access

- A significant gender gap exists in forward market linkages, with women entrepreneurs, particularly in rural areas, having lower sales expectations and aspirations compared to men.

- Gender-inclusive sourcing through initiatives like the Public Procurement Policy and the Government e-Marketplace (GeM) portal helps improve market access but remains limited in scale. Moreover, it is estimated that women receive a very small share of private sector procurement.

- Information asymmetries between women-owned businesses and corporate buyers prevent effective linkages, with women entrepreneurs facing difficulties in meeting procurement standards and obtaining relevant information.

- Limited access to market intelligence hampers women entrepreneurs, who tend to rely on intermediaries instead of engaging directly with end consumers.

- Self-help group (SHG) participation can enhance forward market linkages through targeted training and marketing support.

- Digital platforms such as the NITI Aayog Women Entrepreneurship Platform, Udyam Sakhi, and various e-commerce marketplaces offer women entrepreneurs crucial access to information, networks, and wider markets, especially in remote areas. However, with Indian women 15% less likely to own a mobile phone and 33% less likely to use mobile internet than men, a persistent digital divide limits their ability to fully leverage these opportunities.[4]

- Despite digital infrastructure availability, actual usage by WSMEs usage remains low due to digital literacy gaps and cost barriers (e.g., e-store setup, payment integration, and digital marketing). Digital literacy gaps and cost barriers prevent online business growth, limiting reach and competitiveness.

- Lack of access to branding tools, affordable packaging, and mentorship restricts scalability and market integration.

Policy and Institutional Support

- India ranked 63rd in the World Bank Ease of Doing Business Index (2020), with regulatory inefficiencies noted as a specific constraint for scaling women-led enterprises.

- There is a lack of up-to-date, gender-disaggregated data for women-led MSMEs, limiting policymakers' ability to design targeted interventions. The last available data is from 2015-16, which is outdated and prevents the accurate identification of the specific challenges women entrepreneurs face. Regular, gender-disaggregated surveys are needed for better-targeted programs.

- Existing schemes suffer from gaps in beneficiary verification and fund utilisation. The Comptroller and Auditor General (CAG) reported issues like duplication of beneficiaries and underutilisation of funds, such as in the Ladli Scheme, where a significant amount of allocated funds remained unclaimed.
- Not all states have centralised platforms for business approvals and scheme applications. Platforms like Uttar Pradesh's Nivesh Mitra and Maharashtra's MAITRI portal streamline the process, making it more transparent and efficient for women entrepreneurs, reducing reliance on intermediaries.

The following policy recommendations are put forth across each of the four focus areas.

Financial Inclusion

01 **Strengthening the participation of women as banking agents and ombudsmen**
Encouraging more women to become banking agents and ombudsmen, through recruitment, training, and gender-sensitive policies, can help increase female financial inclusion and provide trusted channels for grievance redressal.

02 **Expansion of access to credit through digital lending and collateral-free products**
Digital lending platforms should offer accessible, collateral-free credit, with government-backed schemes improving outreach to women entrepreneurs.

03 **Leveraging self-help groups (SHGs) and community credit networks**
SHGs offer fast, flexible credit, and formalizing these groups with financial literacy and digital tools can improve access to finance for women entrepreneurs.

04 **Adoption of gender-responsive, alternative credit-scoring models**
Using non-traditional methods like psychometrics and mobile data to assess creditworthiness can increase women's access to loans, bypassing traditional barriers like lack of collateral and formal credit histories.

05 **Integrating financial services with women's existing digital touchpoints to improve uptake**
Embedding financial tools within platforms women already use, like e-commerce, can increase the adoption of digital payments and help build women's credit histories.

Market Access

01 **Building e-commerce and digital market competence through co-created training sessions by government bodies and e-commerce platforms**
Collaborations between government bodies and e-commerce platforms for digital marketing and logistics training can help women entrepreneurs tap into wider markets and enhance competitiveness.

02 **Improvement of market access through public procurement platforms**
Simplifying the onboarding process and offering technical support to women

entrepreneurs on platforms like GeM can increase their participation in government procurement, boosting market access.

03 **Bridging the private procurement gap through information dissemination on procurement standards and financial incentives**
Targeted awareness programs and incentives for corporations collaborating with women entrepreneurs can help bridge gaps in private procurement, expanding opportunities for women-owned MSMEs.

04 **Promotion of affordable production technology in traditional sectors towards quality enhancement**
Encouraging the adoption of low-cost, sector-specific production technologies can help women-owned MSMEs meet quality standards, improving their market access and competitiveness.

Skill Development

01 **Promotion of digital and financial literacy using community-based models**
Implementing scalable community-based literacy programs like "Digital Didi" and expanding initiatives such as Pradhan Mantri Gramin Digital Saksharta Abhiyan (PMGDISHA) can increase digital and financial literacy among rural women, supported by affordable smartphones and better last-mile connectivity.

02 **Implementation of inclusive and culturally appropriate capacity-building initiatives**
Entrepreneurial training programs should integrate indigenous knowledge, use participatory tools, and employ local trainers to ensure cultural relevance and accessibility for women with low literacy and time constraints.

03 **Evolving from skill development to holistic entrepreneurship development support**
Training programs should provide holistic support that combines technical, business, and life skills, aligned with market needs, and address challenges like family engagement, lost wage compensation, and childcare to ensure women's long-term success.

04 **Provision of mentorship and post-training support in sustaining entrepreneurial outcomes**
Providing mentorship and post-training support through digital platforms like the NITI Aayog Women Entrepreneurship Platform can help sustain entrepreneurial outcomes and reduce post-training drop-off.

Policy and Institutional Support

05 **Need for urgent implementation of gender-disaggregated data collection exercises for the MSME sector**
To inform targeted interventions for women-owned MSMEs (WMSMEs), there is an urgent need for gender-disaggregated MSME data, including through periodic surveys and censuses, to track needs and challenges, as evidenced by the success of global gender-specific data collection.

06 **Support of formalisation through awareness and registration assistance for the Udyam portal, GST filing, and women entrepreneurship schemes**
Organising cluster-based camps and mass awareness campaigns on formalisation processes like Udyam registration, GST filing, and women entrepreneurship schemes can facilitate women-led businesses' transition to the formal sector, enhancing access to benefits like credit and subsidies.

07 **Institutionalisation of female representation in decision-making bodies, from the panchayat level to the central government level**
Increasing representation of women in MSME advisory boards, credit review panels, and scheme monitoring committees is necessary to ensure women's perspectives are consistently integrated into policy-making processes at all levels of government.

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